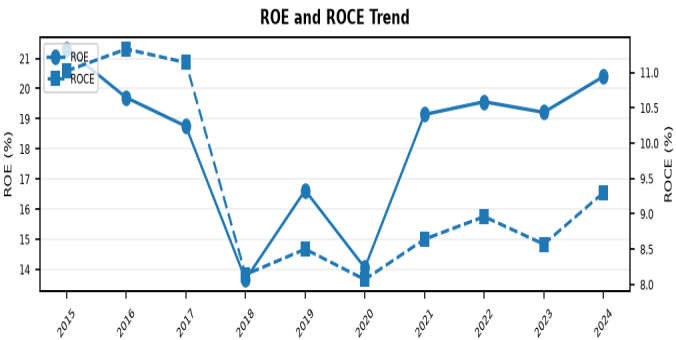
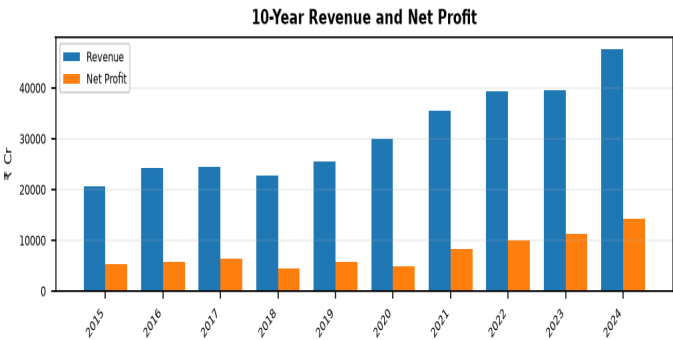
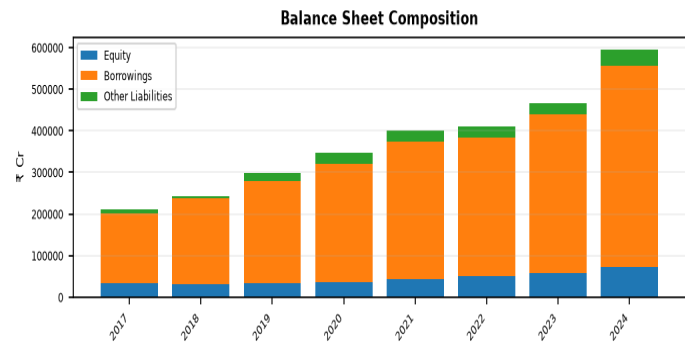


Financials | REC is a Central Public Sector Undertaking under the Ministry of Power involved in financing projects in the complete power sector value chain from generation to distribution. [1]

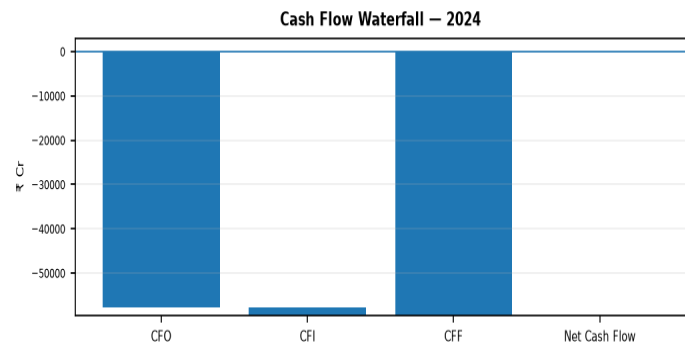
ROE	ROCE	Debt / Equity
20.4%	9.3%	6.42
Revenue CAGR 5Y	PAT CAGR 5Y	Free Cash Flow
13.3%	19.8%	■-59,554 Cr



Balance Sheet Composition



Latest-Year Cash Flow



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

CAPITAL ALLOCATION: Growth Funded by Debt